

Introduction to Engineering Management

Small Groups
Practice 2
Business Environment

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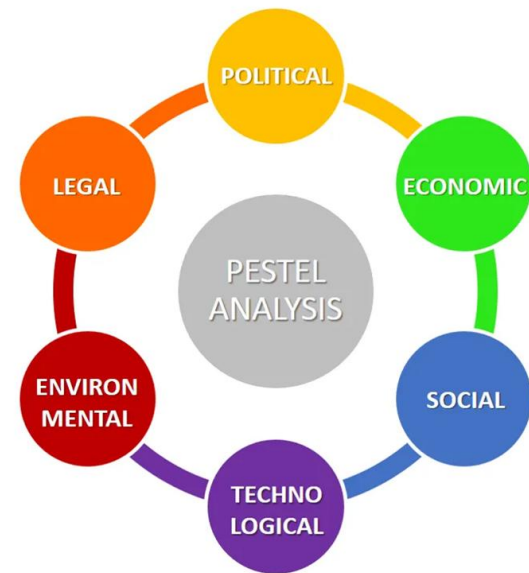


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members



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P

- Government policy
- Political stability
- Corruption
- Foreign trade policy
- Tax policy
- Labour law
- Trade restrictions

E

- Economic growth
- Exchange rates
- Interest rates
- Inflation rates
- Disposable income
- Unemployment rates

S

- Population growth rate
- Age distribution
- Career attitudes
- Safety emphasis
- Health consciousness
- Lifestyle attitudes
- Cultural barriers

T

- Technology incentives
- Level of innovation
- Automation
- R&D activity
- Technological change
- Technological awareness

E

- Weather
- Climate
- Environmental policies
- Climate change
- Pressures from NGO's

L

- Discrimination laws
- Antitrust laws
- Employment laws
- Consumer protection laws
- Copyright and patent laws
- Health and safety laws

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Barriers to Entry

- Economies of scale
- Product differentiation
- Brand identification
- Switching cost
- Access to distribution channels
- Capital requirements
- Access to latest technology
- Experience & learning effects

Government Action

- Industry protection
- Industry regulation
- Consistency of policies
- Capital movements among countries
- Custom duties
- Foreign exchange
- Foreign ownership
- Assistance provided to competitors

Suppliers

Bargaining Power of Suppliers

Power of Suppliers

- Number of important suppliers
- Availability of substitutes for the supplier's products
- Differentiation or switching cost of supplier's products
- Supplier's threat of forward integration
- Industry threat of backward integration
- Supplier's contribution to quality or service of the industry products
- Total industry cost contributed by suppliers
- Importance of the industry to supplier's profit

New Entrants

Threat of new entrants

Industry Competitors

Intensity of Rivalry

Rivalry Among Competitors

- Concentration & balance among competitors
- Industry growth
- Fixed (or storage) cost
- Product differentiation
- Intermittent capacity increasing
- Switching costs
- Corporate strategic stakes

Barriers to Exit

- Asset specialization
- One-time cost of exit
- Strategic interrelationships with other businesses
- Emotional barriers
- Government & social restrictions

Buyers

Bargaining Power of Buyers

Power of Buyers

- Number of important buyers
- Availability of substitutes for the industry products
- Buyer's switching costs
- Buyer's threat of backward integration
- Industry threat of forward integration
- Contribution to quality or service of buyer's products
- Total buyer's cost contributed by the industry
- Buyer's profitability

Threat of substitutes

Substitutes

Availability of Substitutes

- Availability of close substitutes
- User's switching costs
- Substitute producer's profitability & aggressiveness
- Substitute price-value

Practice 2

✓ Learning Objective

- The objective of the practice is to apply all the key concepts and aspects of the business environment, both remote and sectorial, as part of the strategical analysis process of a certain company.

✓ Support material

- Teaching material
- Related bibliography
- Internet: corporate webs, sectorial reports, geographical reports & information

Practice 2 *Assignment*

- Perform an environment analysis to examine the attractiveness of the assigned **sector and rol**, answering the following questions:
 - a) Identify the main players: competitors, clients, providers, substitutes
 - b) Discuss the key factors for each force and how are affecting each force.
 - c) Considering the analysis in the previous question, discuss the degree of rivalry and the profitability in this sector
 - d) Will you invest in this operation? Why?

Deliverable
(Before next week's class)

PPTX presentation.
Free number of
pages

